

Adobe

The creative and document software standard, defending its position by embedding commercially-safe generative AI across every product · www.adobe.com

1982

Founded

31.4K

Employees

\$23.8B

FY2025 revenue

\$25.2B

Ending ARR

\$5B+

AI-influenced ARR

01 Overview

The incumbent in creative software, now in the awkward position of being both an AI winner and an AI disruption target. AI-influenced ARR passed \$5B in FY2025 — over a third of the total base — while the market prices the stock at a decade-low forward multiple on the view that generative tools will erode the moat. Offering: Creative Cloud, Document Cloud and Experience Cloud, with the Firefly generative model family embedded across them. Enterprise AI is sold through Firefly Services, Firefly Foundry (brand-specific custom models trained on a customer's own IP) and GenStudio.	Key facts HQ: San Jose, California Ownership: Public (NASDAQ: ADBE) Revenue: \$23.77B in FY2025, up 11%; total ending ARR of \$25.20B (+11.5%). FY2026 guidance of \$25.9–26.1B Web: www.adobe.com · LinkedIn Key people: Shantanu Narayen (Chair & Chief Executive Officer (transitioning — see note)) Digital twin: No · GenAI: Yes (Firefly)
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02 Use Cases & Reported Metrics

Sector	Deployment	Reported impact	Source
Enterprise AI monetisation	AI-first ARR — revenue from products that exist only because of generative AI, as distinct from AI-influenced ARR across the wider base.	Crossed \$500M in Q2 FY2026, tripled year over year	Link
Enterprise AI monetisation	AI-influenced ARR across Creative Cloud, Document Cloud and Experience Cloud, monetised through generative credits and higher-tier subscriptions.	Surpassed \$5B at FY2025 close — more than one third of total ARR	Link
Media — custom models	Firefly Foundry trains brand-specific models on a customer's own content, guidelines and IP across image, video, audio and 3D, then runs them as a managed service.	~\$7M incremental services sale layered on roughly \$10M of existing creative ARR; models trained in two to three months	Link

03 Competitive Landscape

Other vendors in this market: Oracle · Salesforce · SAP · ServiceNow · Workday Where it sits: Adobe's defensible claim is provenance, not capability: its models are trained on content it owns or has licensed, which makes output commercially safe in a way that matters to regulated buyers and to anyone indemnifying downstream use. It has also stopped insisting Firefly be the only option — the Generative Media Tool in Premiere lets users pick Google Veo, Kling, Runway or Luma instead.
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04 GIP & BlackRock Connections

GIP became a wholly-owned BlackRock subsidiary in October 2024 and now operates as BlackRock's dedicated infrastructure-investment arm. Stakes below are standard institutional/index-fund positions unless otherwise noted.	
Entity	Possible connection
Global Infrastructure Partners	No publicly disclosed GIP relationship. Adobe's relevance to an infrastructure portfolio is corporate-function rather than asset-level — marketing, documents and contract workflows
BlackRock	No publicly disclosed operating relationship; standard index holdings only.

05 Sentiment

Customer: Enterprise traction is the clearer half of the story: record bookings on deals above \$1M in Q4 FY2025 and over 25% year-over-year growth in that cohort. The friction point with customers is pricing mechanics rather than capability	
What supports the story - AI-influenced ARR above \$5B and AI-first ARR past \$500M and tripling — monetisation is real, not a roadmap - Licensed and owned training data makes output commercially safe, which is a genuine differentiator for regulated and brand-sensitive buyers - FY2025 free cash flow above \$10B funds buybacks and R&D without dilution	What to pressure-test - The market is pricing disruption: a forward P/E around 12–14x is a ten-year low for this business - CEO succession is unresolved — Shantanu Narayen announced on 12 March 2026 that he will transition once a successor is appointed, and shares fell 7% on the news - AI-first ARR, while growing fast, is roughly 2% of total ARR — the base business still carries the company

Employee: Not covered in this pass — no reliable employer-review data was gathered. Headcount was approximately 31,360 at FY2025 year-end. Treat as a gap rather than a positive signal.

Sources: Adobe public filings/website, company fact sheets, Wikipedia, PitchBook/Crunchbase/Datanyze/BuiltIn profiles, Glassdoor employer reviews, vendor case studies and press releases as of Sept. 2026. Figures marked “est.” or “not disclosed” are third-party estimates or unavailable — not company-confirmed — validate in diligence. Part of the Physical AI / Industrial AI for Critical Infrastructure market landscape.